1. Introduction to Micro and Macro Economics

1. Introduction to Economics

Economics is divided into two main branches: **Micro** and **Macro**.

- **Development of Macro Economics:** While the macro approach was popularized by **Lord Maynard Keynes** in his 1936 book, *"General Theory of Employment, Interest and Money,"* other economists like Malthus and Irving Fisher also helped develop it.

2. What is Micro Economics?

The word "Micro" means a small part of something.

- **Meaning:** Micro economics studies the tiny individual parts of a national economy, such as one consumer, one household, or one firm.
- **Definitions:**
    - **Maurice Dobb:** It is a "microscopic study of the economy".
    - **Prof. A.P. Lerner:** It is like looking at the economy through a microscope to see how millions of "cells" (individuals and firms) act like a living organism.
- **Daily Life Example:** If you study why you decided to buy a specific brand of chocolate, you are doing a micro-economic study.

3. Scope of Micro Economics (What it covers)

Micro economics focuses on three main areas:

- **Theory of Product Pricing:** * It explains how the price of a single product (like a pen) is decided by the forces of **Demand** (buyers) and **Supply** (sellers).
    - *Example:* If everyone wants a toy but there are only a few, the price goes up.
- **Theory of Factor Pricing:** To produce anything, we need four "factors" of production. Micro economics decides the rewards for these:
    - **Land** gets Rent.
    - **Labour** gets Wages.
    - **Capital** gets Interest.
    - **Entrepreneur** gets Profit.
- **Theory of Economic Welfare:** This is about using resources efficiently to give people maximum satisfaction. It involves:
    - **Efficiency in Production:** Making the most goods with the least resources.
    - **Efficiency in Consumption:** Distributing goods so people are as happy as possible.
    - **Overall Efficiency:** Producing exactly what people want.

1. Introduction to Micro and Macro Economics

4. Key Features of Micro Economics

- **Study of Individual Units:** It ignores the whole country and looks at one small part.
- **Price Theory:** Its main job is to determine prices, so it is often called Price Theory.
- **Slicing Method:** It "slices" the big economy into small bits to study them in detail.
    - *Example:* Studying your family's income instead of India's National Income.
- **Partial Equilibrium:** It looks at one unit while assuming everything else stays the same.
- **Based on Assumptions:** It uses the phrase **"Ceteris Paribus,"** which means "Other things remaining constant". This makes the complex world easier to study.
- **Marginalism Principle:** "Marginal" means the change brought by one extra unit. Producers use this to decide if they should make one more item.
- **Limited Scope:** It does not study big problems like inflation, poverty, or unemployment.

5. Importance of Micro Economics

- **Free Market Economy:** It helps us understand how a market works without government interference.
- **Foreign Trade:** It explains how taxes (tariffs) affect the price of a specific imported item.
- **Business Decisions:** It helps business owners decide how much to produce and what price to set.

6. What is Macro Economics?

"Macro" means large. It studies the entire economy as a whole.

- **Meaning:** It looks at "aggregates" (totals) like total employment, National Income, and total savings.
- **Definitions:**
    - **J.L. Hansen:** It considers the relationship between large totals like total investment and national income.
    - **Prof. Carl Shapiro:** It deals with the "functioning of the economy as a whole".
- **Daily Life Example:** Looking at the total number of unemployed people in the entire country is a macro-economic study.

7. Scope of Macro Economics

- **Theory of Income and Employment:** It explains why National Income goes up or down and what causes unemployment.
- **Theory of General Price Level:** It studies **Inflation** (prices going up) and **Deflation** (prices going down) across the whole country.
- **Theory of Growth and Development:** It suggests ways to help poor countries become rich.

1. Introduction to Micro and Macro Economics

- **Macro Theory of Distribution:** It looks at how the total National Income is shared as rent, wages, interest, and profit.

8. Key Features of Macro Economics

- **Study of Aggregates:** It looks at the big picture (National Income, Total Output).
- **Income Theory:** Because it focuses on National Income, it is called Income Theory.
- **Lumping Method:** Unlike the slicing method, this looks at the "forest" instead of individual "trees".
- **Interdependence:** It shows how one thing (like investment) affects another (like employment).
- **Policy-oriented:** It helps the government create policies to control inflation and create jobs.

9. Summary Table: Micro vs. Macro

Basis	**Micro Economics**	**Macro Economics**
Meaning	Studies individual units.	Studies the whole economy.
Tools	Individual Demand & Supply.	Aggregate Demand & Supply.
Scope	Product/Factor pricing.	National Income/Price Level.
Theory	Price Theory.	Income & Employment Theory.
Example	Individual Income.	National Income.

10. Key Terms to Remember

- **Aggregates:** Totals or the sum of all parts.
- **Ceteris Paribus:** A Latin phrase meaning "other things remaining constant".
- **Equilibrium:** A state of balance between two forces.
- **Marginalism:** The study of the effect of one extra unit.
- **National Income:** The total value of all goods and services produced by a country in a year.

1. Introduction to Micro and Macro Economics

11. Exam-Oriented Questions and Answers

Q1: Why is Micro Economics called Price Theory?

Answer: It is called Price Theory because its primary focus is on how the prices of individual goods and the prices of factors of production (land, labour, etc.) are determined.

Q2: What is the "Slicing Method" in Micro Economics?

Answer: The slicing method involves dividing the entire economy into small individual units (like a single firm or household) to study them in great detail.

Q3: Mention any two features of Macro Economics.

Answer: 1. Study of Aggregates: It deals with the economy as a whole.

2. Income Theory: It explains the factors determining national income and its fluctuations.

Q4: Distinguish between the scope of Micro and Macro Economics.

Answer: Micro economics covers individual product pricing, factor pricing, and welfare efficiency. Macro economics covers national income, employment, general price levels (inflation), and economic growth.

Q5: Why are assumptions like "Ceteris Paribus" important in Micro Economics?

Answer: These assumptions simplify the complex economic reality, allowing economists to study the relationship between two specific factors while keeping others constant.

Q6: How does Macro Economics help the government?

Answer: It is "policy-oriented," meaning it helps the government design rules for taxation, public spending, and controlling inflation to improve the country's economy.